

Portfolio Strategy Validation Dashboard

Testing whether each additional layer of portfolio sophistication improved performance, risk control, and drawdown behaviour.

Executive Summary

This dashboard validates four portfolio designs in sequence: Equal Weight, 60/40, Risk Budgeting, and Tactical Overlay. The focus is not simply the highest return, but whether each layer improved the return/risk trade-off.

Highest Return

60/40 Portfolio

↑ 8.36%

Best Risk-Adjusted

Tactical Overl...

↑ Sharpe 0.88

Best Drawdown Control

Risk Budget P...

↓ -16.39%

Lowest Volatility

Risk Budget P...

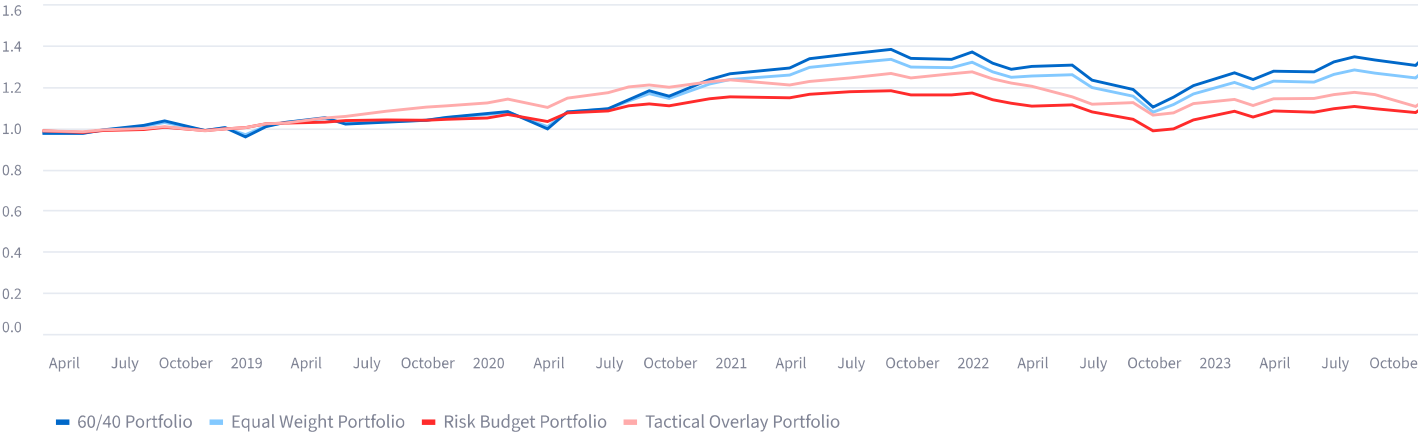
↑ 7.00%

Key finding: 60/40 delivered the highest absolute return, but the Tactical Overlay portfolio delivered the strongest risk-adjusted profile. Risk budgeting reduced volatility and drawdown, while the tactical overlay recovered much of the return lost by risk budgeting.

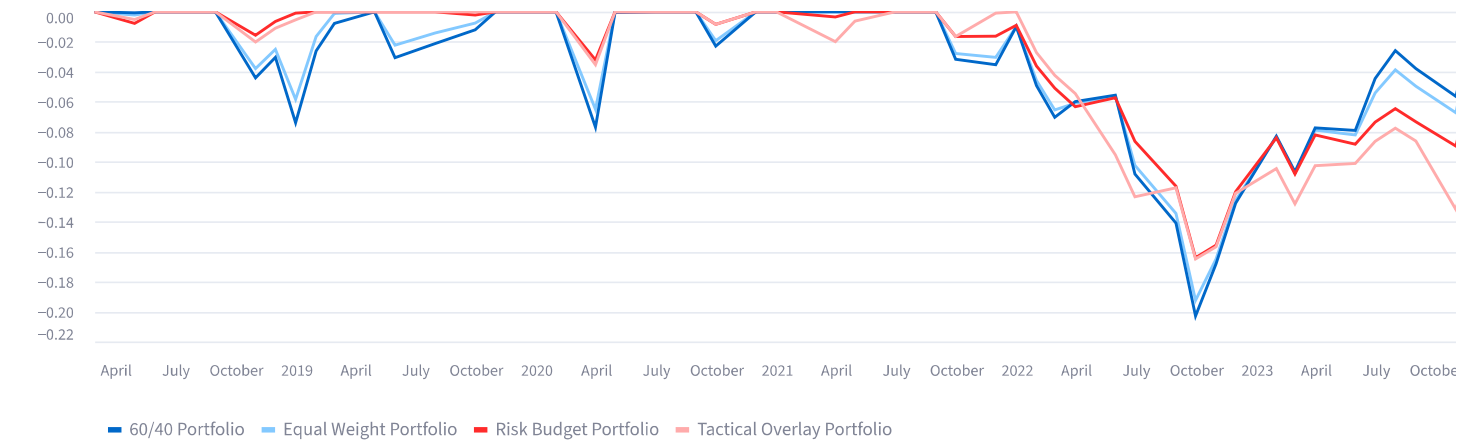
Performance Summary

Portfolio	Total Return	CAGR	Annualised Volatility	Sharpe Ratio	Max Drawdown	Calmar Ratio	Worst Month
Equal Weight Portfolio	45.85%	7.10%	10.09%	0.70	-19.24%	0.37	-6.69%
60/40 Portfolio	55.55%	8.36%	11.41%	0.73	-20.28%	0.41	-7.70%
Risk Budget Portfolio	22.15%	3.70%	7.00%	0.53	-16.39%	0.23	-5.39%
Tactical Overlay Portfolio	44.47%	6.92%	7.87%	0.88	-16.49%	0.42	-5.39%

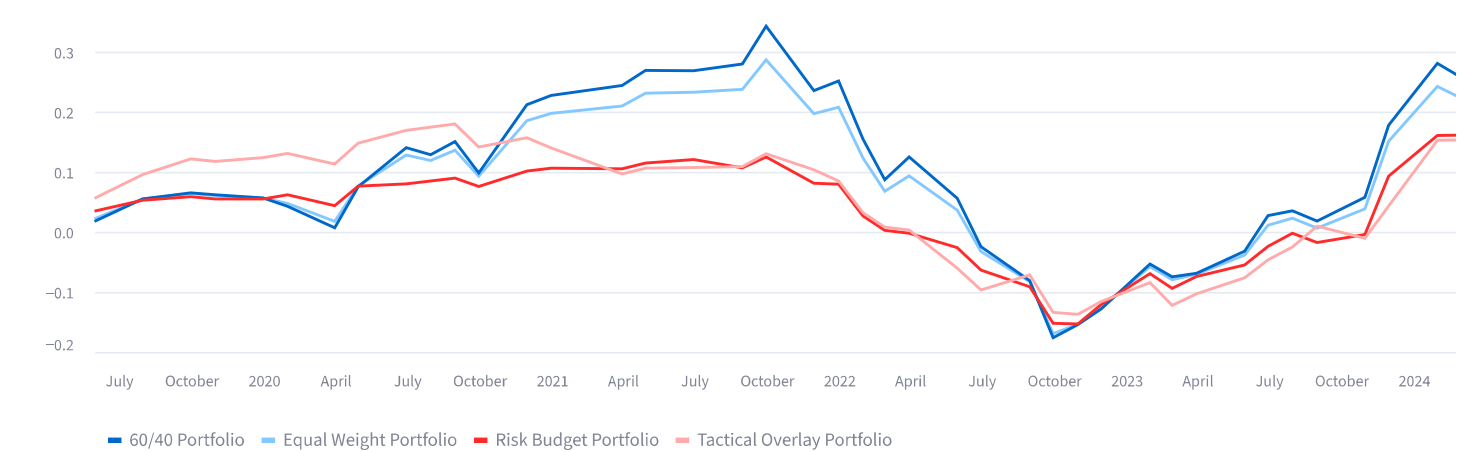
Growth of £1



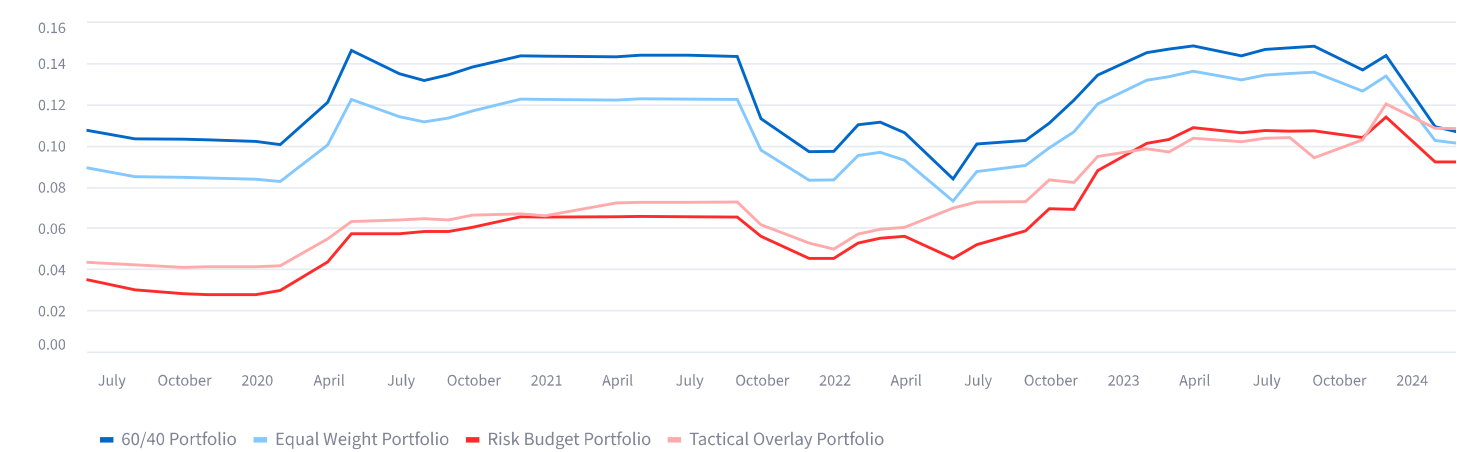
Drawdown Comparison



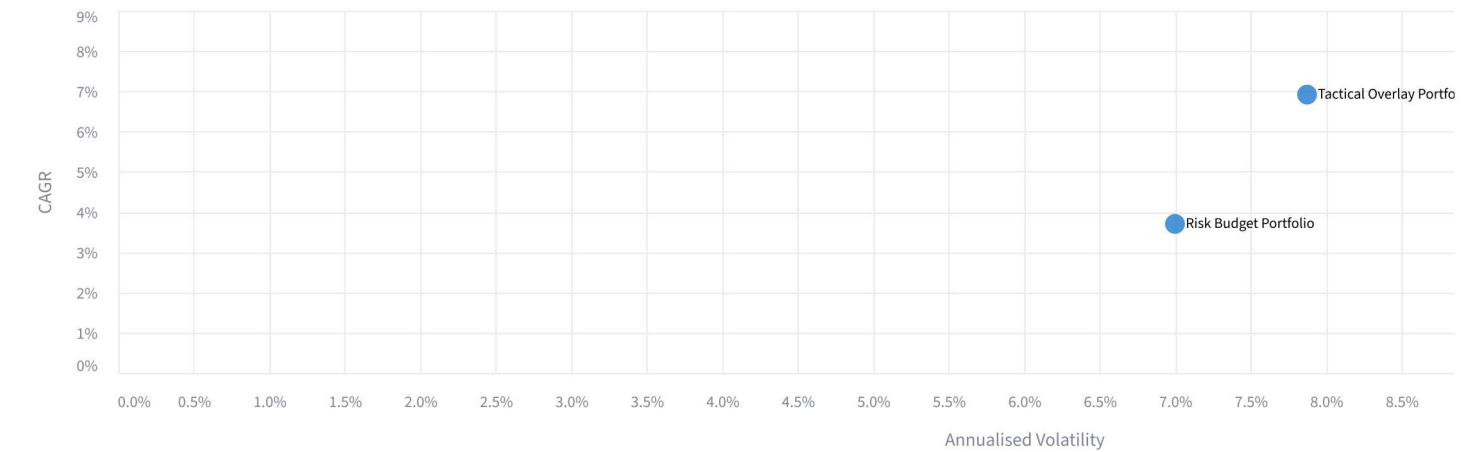
12-Month Rolling Return



12-Month Rolling Volatility



Risk vs Return Map



Further up means higher CAGR; further left means lower volatility. Labels identify each portfolio.

Validation Tests

	Test	Challenger	Benchmark	CAGR Change	Volatility Change
0	Did 60/40 improve over Equal Weight?	60/40 Portfolio	Equal Weight Portfolio	1.26%	1.32%
1	Did Risk Budgeting add value?	Risk Budget Portfolio	60/40 Portfolio	-4.66%	-4.42%
2	Did Tactical Overlay add value?	Tactical Overlay Portfolio	Risk Budget Portfolio	3.21%	0.87%
3	How did Tactical Overlay compare with 60/40?	Tactical Overlay Portfolio	60/40 Portfolio	-1.45%	-3.54%

Portfolio Ranking

Portfolio	CAGR Rank	Sharpe Rank	Drawdown Rank	Volatility Rank
Tactical Overlay Portfolio	3	1	2	
Risk Budget Portfolio	4	4		1
60/40 Portfolio	1	2		4
Equal Weight Portfolio	2	3		3

Investment Interpretation

Did 60/40 improve over Equal Weight?

The 60/40 portfolio improved the return profile versus Equal Weight. CAGR increased by 1.26% and Sharpe improved by 0.03. The trade-off was slightly higher volatility (1.32%) and a deeper max drawdown (-1.04%). Overall, 60/40 added return, but not risk reduction.

Did Risk Budgeting add value?

Risk budgeting achieved its risk-control objective: volatility fell by 4.42% and max drawdown improved by 3.89% versus 60/40. However, CAGR fell by 4.66% and Sharpe declined by 0.20. This created a smoother portfolio, but the return sacrifice was substantial.

Did Tactical Overlay add value?

The tactical overlay clearly added value versus the risk-budgeted portfolio. CAGR improved by 3.21%, Sharpe improved by 0.35, and max drawdown was broadly unchanged (-0.10%). This suggests the overlay recovered a large part of the return lost by risk budgeting while preserving most of the drawdown control.

How did Tactical Overlay compare with 60/40?

Compared with 60/40, the tactical overlay gave up 1.45% of CAGR, but volatility fell by 3.54%, Sharpe improved by 0.15, and max drawdown improved by 3.79%. This makes the tactical overlay competitive with 60/40 on a risk-adjusted basis, even though 60/40 delivered the higher absolute return.

Overall conclusion

This analysis shows that portfolio design should be judged incrementally. The 60/40 portfolio improved return versus Equal Weight; Risk Budgeting improved stability but sacrificed return; and the Tactical Overlay delivered the clearest improvement relative to the layer it was designed to enhance. In this sample, the overlay did not simply add complexity — it materially improved risk-adjusted performance and made the risk-controlled portfolio competitive with 60/40 on a risk-adjusted basis.

➤ [View raw portfolio return dataset](#)

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